Note 10. INCOME TAXES

The provision (benefit) for income taxes consists of the following:

	Years Ended December 31, 2007	2006
Current:		
Federal	$ (10,916)	$ (1,072)
State	51	300
Total current provision (benefit) for income taxes	(10,865)	(772)
Deferred:		
Federal	14,997	1,021
State	504	37
Total deferred provision (benefit) for income taxes	15,501	1,058
Total provision for income taxes	$ 4,636	$ 286

The reconciliation of the income tax provision (benefit) computed at the U.S. federal statutory tax rate as compared to the Company's effective income tax provision (benefit) is as follows:

	Years Ended December 31, 2007	2006
Tax at U.S. statutory rate	$ 3,795	$ (1,763)
State income tax, net of federal tax benefit	379	346
Non-deductible meals and entertainment	26	424
Section 162(m) non-deductible officers compensation	230	—
Non-deductible stock-based compensation	—	508
Tax credits	(432)	—
Penalties and interest	39	653
Change in tax reserves (decrease)	546	(81)
Other	53	199
Total provision for income taxes	$ 4,636	$ 286

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Deferred income tax assets and liabilities are comprised of the following:

	Years Ended December 31,	
	2007	2006
Deferred tax, assets current:		
Allowance for doubtful accounts	$ 105	$ 329
Deferred rent	187	228
Section 263A inventory adjustments	255	271
Inventory reserves	3,408	9,035
Vest replacement program	3,736	5,816
Reserve for class action settlement	1,520	9,657
Accrued expenses	12,257	12,789
Current deferred tax assets	21,468	38,125
Deferred taxes, noncurrent:		
Net operating loss carryovers	575	76
Capital loss carryovers	335	335
Depreciation	(591)	79
Equity-based compensation	1,328	
Noncurrent deferred tax assets	1,647	490
Valuation allowance	(335)	(335)
Net noncurrent deferred tax assets	1,312	155
Total deferred tax assets	$ 22,780	$ 38,280

SFAS 109 requires a valuation allowance to reduce the deferred tax assets reported if, based on the weight of the available evidence, both positive and negative for each respective tax jurisdiction, it is more likely than not that some portion or all of the deferred tax assets will not be realized. At December 31, 2007, management has determined that a valuation allowance of $335 is necessary to reduce the deferred tax assets with respect to the Company's capital loss carryovers.

The Company had state net operating loss carryforwards of $16,100 and $2,200 at December 31, 2007 and December 31, 2006, respectively. These state net operating loss carryforwards will expire in varying amounts through 2022.

The Company adopted the provisions of FASB Interpretation No. 48, "Accounting for Uncertainty in Income Taxes" ("FIN 48") on January 1, 2007. As a result of the implementation of FIN 48, the Company recognized no material adjustment in its liability for unrecognized income tax benefits.

As of December 31, 2007, the Company had $11,423 of unrecognized tax benefits ("UTB"), of which $11,100 would, if recognized, decrease the Company's effective tax rate. A reconciliation of the beginning and ending amount of unrecognized tax benefits is as follows:

Beginning Balance—UTBs (gross)	$ 8,988
Increases—prior-year tax positions	546
Increases—reclassification of current tax payable	1,889
Ending balance—UTBs (gross)	$11,423

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The above reconciliation of the gross unrecognized tax benefit differs from the amount which would affect the effective tax rate due to the recognition of state tax benefits. It is the Company's continuing practice to recognize interest and/or penalties related to uncertain tax positions in income tax expense. As of December 31, 2007, the Company had recognized approximately $1,200 of accrued interest and no penalties related to its uncertain tax positions.

The tax years 2003 to 2007 remain open to examinations in the United States and 2002 to 2007 remain open to various state taxing jurisdictions.

The Company is currently under examination by the Internal Revenue Service for its U.S. Corporate Income Tax Returns for the tax years ended December 31, 2003 and 2004. There have been no adjustments proposed in connection with the examination. The Company is also under examination by the State of New York for the years 2002 through 2004 and has been assessed $1,800 in additional taxes and interest related to the proposed disallowance of losses on discontinued operations, intercompany interest expense and other intercompany charges. The Company has filed a protest with the State of New York, believes it has a meritorious defense. and anticipates the ultimate resolution of the assessment will not result in a material adjustment to the financial statements.